Weekly Ship Recycling Report

10 June 2023 - 16 June 2023

bestoasis

Recycling with the Best

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Highlights of the Week

A series of visits and high-level meetings have taken place in Bangladesh over the course of the last few weeks as part of a diligent and persistent effort. The nation has ratified the Hong Kong International Convention for the Safe and Environmentally Sound Recycling of Ships as a result of these efforts. This result was anticipated and has been addressed in our previous reports. The cabinet has approved the resolution, and the foreign minister will soon execute the ratification, thereby facilitating the submission of the convention to the International Maritime Organization (IMO).

In an effort to battle inflation, the European Central Bank (ECB) has raised interest rates yet again. The European Central Bank hiked its key interest rate by a quarter point to 3.5 percent, a day after the Federal Reserve suspended its own rate rises. It was Europe's eighth straight rise since July 2022, part of an unprecedentedly quick effort by the bank to restrict the supply of credit to the economy as it strives to bring inflation to its target of 2% from 6.1%. The decision was largely expected, and many experts foresee another quarter-point raise at the bank's next meeting on July 27.

The World Bank is the most recent organization to put forward a carbon tax on shipping ahead of the International Maritime Organization's (IMO) Marine Environment Protection Committee (MEPC) meeting next month. According to a new report from the bank, a carbon tax on shipping alone might raise $40 billion to $60 billion per year between 2025 and 2050, money that could be used to accelerate the decarbonization of the shipping industry as well as improve port infrastructure, particularly in developing nations. Furthermore, a portion of the proceeds should be directed to the least developed countries to aid in their transition away from the usage of fossil fuels. The World Bank joins a rising chorus of governments and organizations, including the United States, France, and Denmark, all eager for IMO member states to agree on and implement a carbon levy as soon as possible.

Exchange Rates:

USD / INR ₹

This Week	: 81.92
Previous Week	: 82.44
Gained	: 0.52

USD / BDT ৳

This Week	: 107.75
Previous Week	: 107.95
Gained	: 0.20

USD / PKR ₨

This Week	: 287.08
Previous Week	: 283.98
Lost	: 3.10

USD / TL ₺

This Week	: 23.67
Previous Week	: 23.50
Lost	: 0.17

India

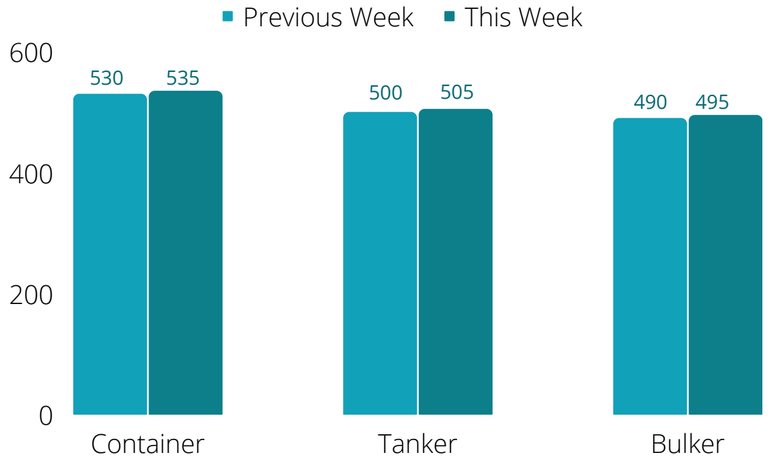
The local market seemed positive, but the cyclone halted activity.

- The market has exhibited a positive trend, and the underlying cause for this improvement remains indeterminate. The operations in Alang have been suspended from 12/06/2023 to 16/06/2023 owing to the impact of tropical cyclone Biparjoy.

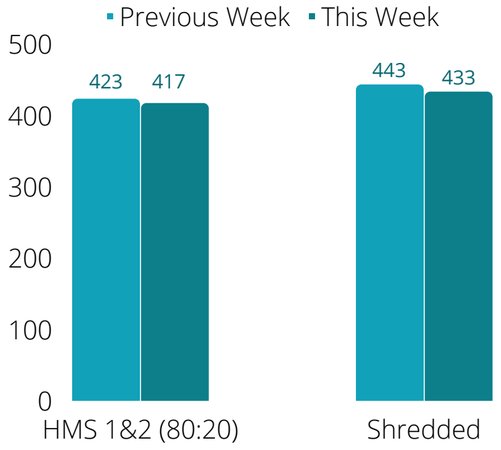
- The current market has been characterized by a dearth of tonnage availability, with the limited number of vessels that have been sold being designated for sophisticated green recycling processes.

- As we said last week, the situation has moved forward as India's finance ministry is considering a plan to put a countervailing duty on steel imports from China. A recommendation has come from the Directorate General of Trade Remedies, but a final decision has not been made yet because it continues to be examined.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

16 June to 21 June 2023
01 July to 09 July 2023
13 July to 22 July 2023

Bangladesh

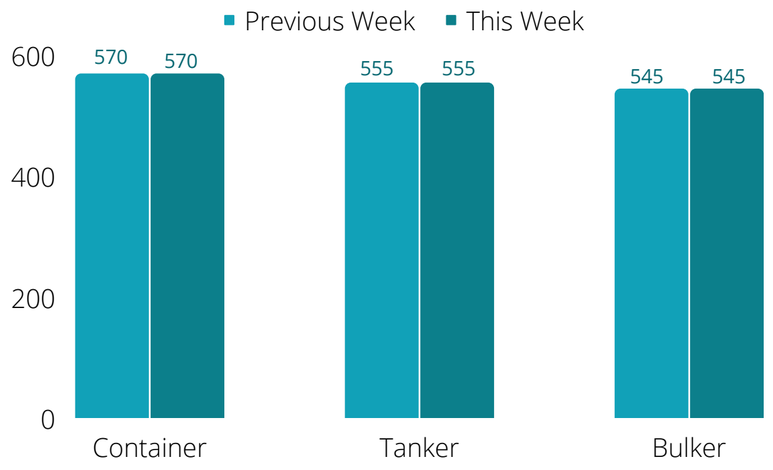
The local market remains unchanged, while the LC issue deteriorates.

- The market has stayed unchanged from the previous week, with minimal change, and locally, the material is extremely difficult to sell.
- LC issues are not only still present but are also worsening daily, so it would be reasonable, given the current situation, to avoid owners of larger light-weight vessels from engaging in negotiations with the delivery Bangladesh.
- The Bangladesh Bank (BB) will release its monetary policy statement (MPS) for the first half of the fiscal year 2023-2024 on June 18, 2023. Additionally, the BB board has authorized the Digital Bank guideline with a paid-up capital provision of Tk125 crore. The Digital Bank will be granted a license under the Banking Company Act of 1991. The payment service will be administered in accordance with the Bangladesh Payment and Settlement System Regulations, 2014, as per the sanctioned directive.

Beaching Dates

17 June to 20 June 2023
03 July to 06 July 2023
18 July to 21 July 2023

Price for Recycling Ships in Bangladesh



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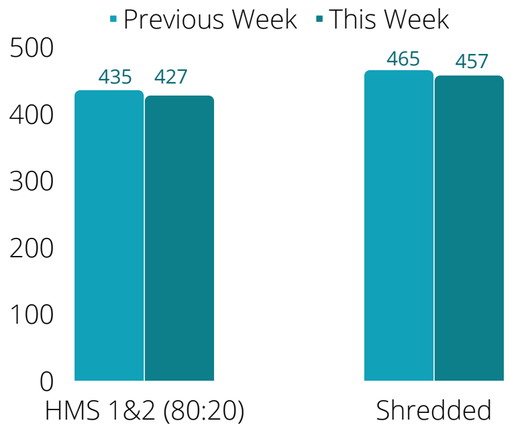


Pakistan

Market inactivity coupled with severe criticism from the IMF

- The ship recycling industry is currently experiencing a state of inactivity, prompting a collective adoption of a cautious and observant approach by industry stakeholders. The construction industry is currently experiencing a dearth of business activity, leading to a significant reduction in demand for steel. The limited demand that does exist is being met through the smuggling of steel from the border with Iran.

- The IMF slammed Pakistan's proposed new yearly budget, stating the country's administration had neglected to include a more equitable tax structure. Concerns were renewed over the progress of months of discussions between the cash-strapped country and the lender over a blocked bailout tranche after harsh condemnation from the IMF's official for Pakistan.

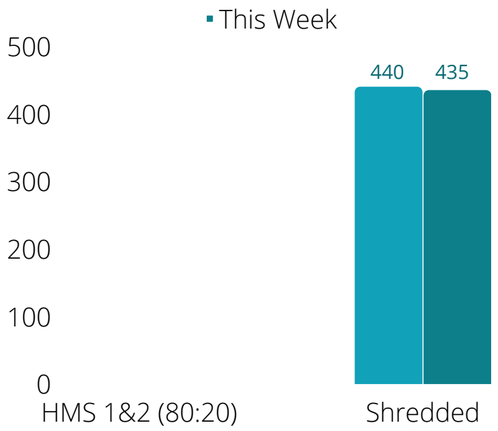
- The Pakistani government is touting its first Russian oil imports as a transformative development for the struggling economy. However, experts caution that it is premature to determine the extent to which this inscrutable agreement will provide assistance.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan

Price of HMS 1&2 (80:20) and Shredded



*HMS 1& 2 no booking as no LC facilities

Türkiye

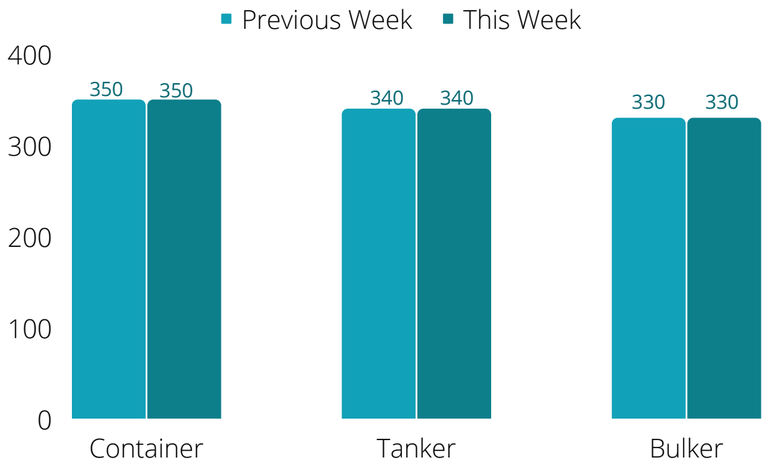
Market participants remain spectators, while the lira continues to drop.

- The local market is in a 'wait and see' frame of mind at the moment.
- The domestic steel prices have remained constant, while the imported steel prices have experienced a decline of 5 USD.
- The volatility of currency in the market has resulted in a reduction in the demand for a brief duration.
- It is anticipated that the recently appointed governor of Turkey's central bank will implement a two-fold increase in interest rates in the upcoming week, as the nation's new financial team endeavors to restore stability to the ailing economy.
- The lira is on track for its longest run of weekly losses. After losing 11% last week, the Turkish lira fell another 1% this week. It has now been declining since early March, marking the longest losing stretch since 1999.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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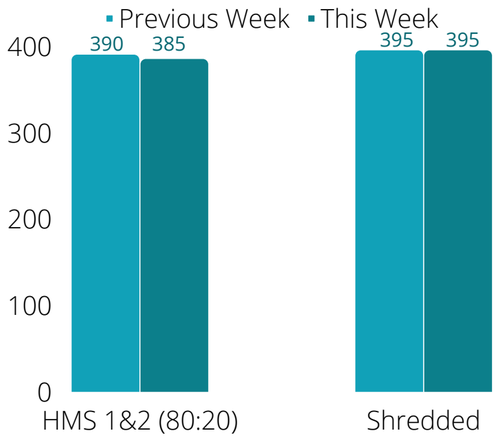
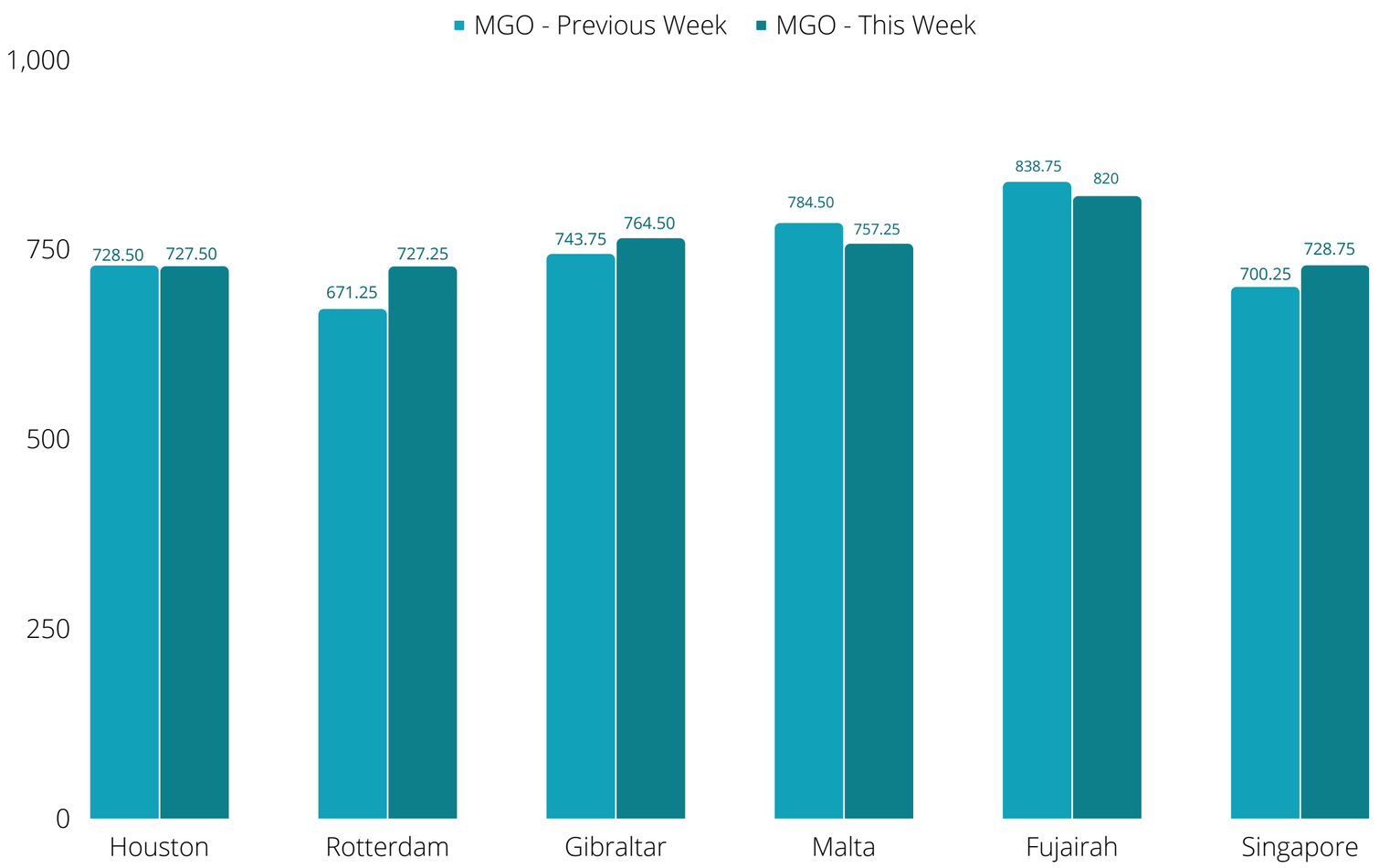


Bunker Prices at Port



Brent Crude

This Week	:	75.33
Previous Week	:	75.75
Movement	:	-0.42

WTI Crude

This Week	:	70.53
Previous Week	:	71.11
Movement	:	-0.58

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MERATUS MAKASSAR	CONTAINER	9106637	1995	GERMANY	5,455	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
SCO QINGDAO	CONTAINER	9132521	1997	CHINA	3,759	DELIVERED	CHITTAGONG,BANGLADESH	610
MSC KERRY	CONTAINER	9062960	1995	POLAND	15580	DELIVERED	ALANG, INDIA (HKC RECYCLING)	540

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